prices sustains and transmits to lower inflation readings. This will pare risk aversion and help EM currencies such as the INR correct to an extent in H2FY2023. In our view, with domestic services demand appearing robust, lower global commodity prices are a positive for India's economic outlook. The recent correction in key commodity prices, including crude oil, amid fears of a global recession, is likely to ease the pressure on input costs and hence the margins of India Inc. in the immediate term, despite the weaker INR. If this downtrend sustains, we see a tangible upside to our estimate of YoY GDP growth of 6.5-7.0 per cent for Q2FY2023.

● **DHARMAKIRTI JOSHI:** The rupee could continue testing 80+ levels in the near term as global risks keep piling up, the Fed remains hawkish, and India's external vulnerability is on the rise. The global financial crisis and taper tantrum episodes tell us that, while the rupee overshot its long-term trend at the peak of the shock, it also corrected when the risks subsided. So we do expect it to appreciate to below 80 levels by the last quarter of the fiscal. We see GDP growth at 7.3 per cent for this fiscal, with risks tilted downwards, and inflation at 6.8 per cent. Most economic indicators point to a healthy economic performance in the April-June quarter.

● **AJAY SAHAI:** Global trade is entering a difficult phase. The inventories are pretty high, affecting the demand. The high inflation globally and recession in advanced economies are other challenges, contracting demand. Besides, the commodities prices are declining, affecting exports value. At the current level, we expect exports to be around $ 460-470 billion. If the geopolitical situation improves, these projections may change dramatically. ■

Q. What can the government and RBI do as INR weakens?

● **N.R. BHANUMURTHY:** Both RBI and the central government have been undertaking various measures to contain the free fall of the rupee and those measures have been largely successful. Now the focus should be more on managing inflation expectations as well as ensuring speedy implementation of projects under the public sector that could crowd in private investments as well as improve the growth potential. In my view, the prudent macro-fiscal policies that India has adopted since the Covid-19 period could help withstand the global headwinds that IMF and other agencies have predicted to prolong even in 2023. Let the rupee find its true value.

"As long as emerging market currencies are weakening, some INR depreciation is inevitable and warranted to protect export competitiveness"

– ADITI NAYAR, *Chief Economist, ICRA*

● **ADITI NAYAR:** FII equity outflows have eased in July 2022 to $1.1 billion in the first half of the month, after averaging a substantial $4.7 billion in the previous six months. Moreover, FDI inflows stood at $12.7 billion in April-May 2022, an admitted YoY decline, but robust compared to the pattern in earlier years. As long as EM currencies are weakening, some INR depreciation is inevitable, and may be warranted to protect export competitiveness. However, if the INR crosses 80.5/$ in a sustained manner, further RBI and government measures may be forthcoming. The central bank could, for instance, open a special swap window for oil marketing companies to take care of their daily forex requirements, thereby reducing dollar demand in the market; this measure had proven to be effective during the 2013 taper tantrum.

● **DHARMAKIRTI JOSHI:** As long as global developments dictate the rupee's weakening, there is not much policymakers can do to reverse its direction. They can, at best, continue to act on the lines they already are, to ensure depreciation is orderly during the turmoil. As things stand, the rupee will pose a near-term challenge to policymakers, unless commodity and crude prices correct sharply.

● **AJAY SAHAI:** I don't think they should intervene—the only thing the government can do is manage excess volatility. We will prefer that the rupee remains at 4-5 per cent of volatility. That is something we can manage. ■